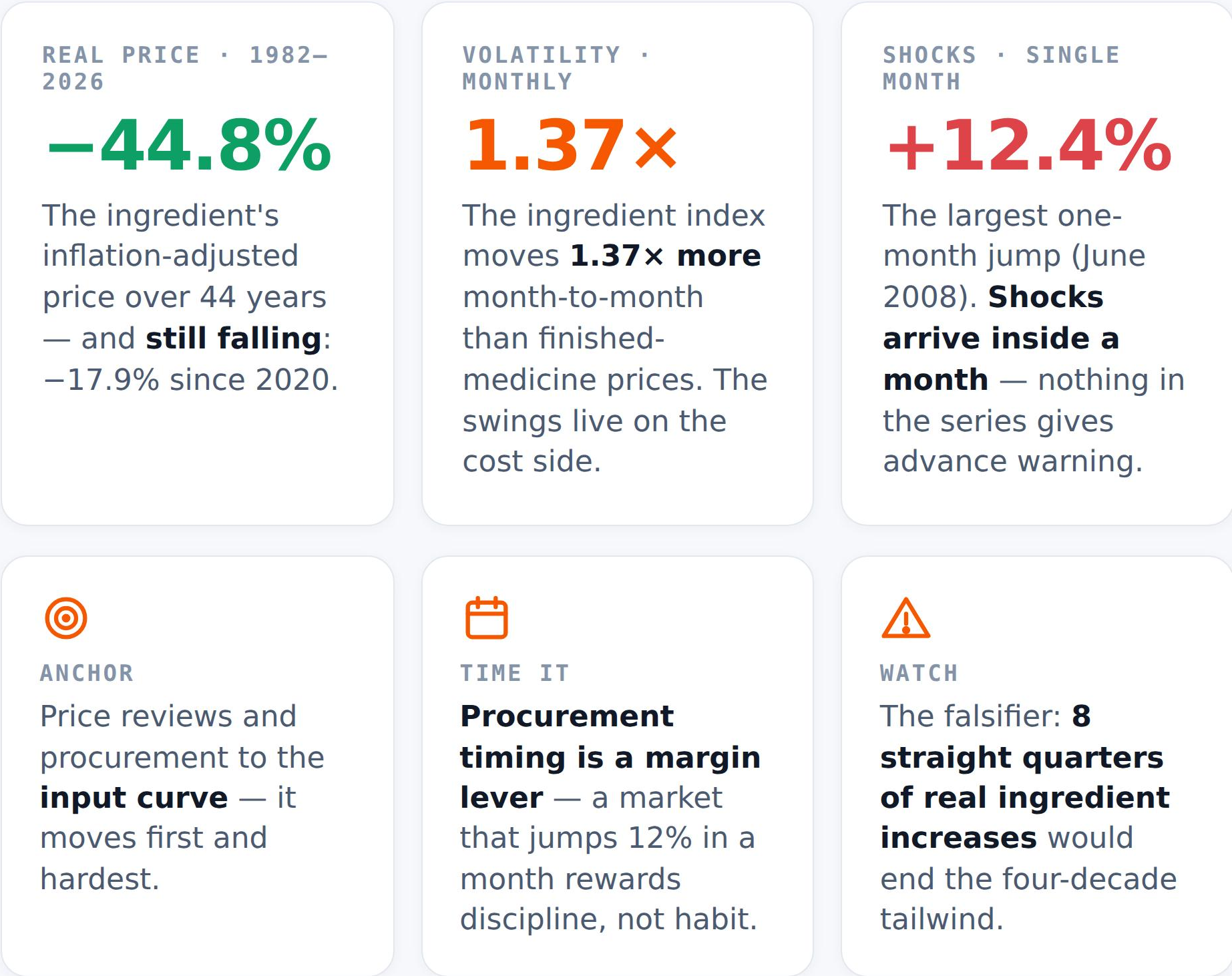




Your most important price is one **you don't set.**

The active pharmaceutical ingredient — the cost inside every medicine made. **44 years of its price**, from the US statistical agencies. Deliberately **costs only**: selling prices are shaped by regulation and rebates, so this measures the side nobody administers.

Three facts about the cost of goods. All defensible.



Selling prices are noisy. Input prices aren't.

THE OUTPUT SIDE

Published US medicine-price indexes are **list-basis**. Rebates on branded drugs mean net realisation can sit far below list — and the gap itself moves over time. Any claim built on selling prices inherits that noise.

THE INPUT SIDE

Bulk ingredient prices are **business-to-business market prices** — no rebate machinery, no reimbursement, no administered rates anywhere in the chain. Defensible line by line.

So this deck measures only the input side. The output-side findings exist — they live on the full study pages, with their caveats printed next to them.

What exactly is **being measured**.



Producer price index

The average price **at the factory gate** — what manufacturers actually receive, as collected by the Bureau of Labor Statistics.



"Ingredient" =

Bulk active-ingredient manufacturing — NAICS 325411, medicinal & botanical. BLS PCU325411325411, monthly, Jun 1982 → Jun 2026, **529 observations**.



"Real" =

Deflated by **US CPI-U**. And because index base periods are arbitrary, **only changes between two named dates are quoted** — never levels.



Excluded by design

All selling-price series (list-basis — page 3), and all non-US markets. One series, one country, one clean claim.

"The ingredient" is a basket.

Not one molecule — every uncompounded active substance US plants ship to preparation manufacturers, weighted by shipment value:



Antibiotics, bulk

Uncompounded antibiotic substances — **named explicitly in the industry definition.**



Vitamins

Basic vitamin manufacture — ascorbic acid and peers, uncompounded.



Hormones & endocrine

Endocrine products and adrenal derivatives in bulk.



Alkaloids & botanicals

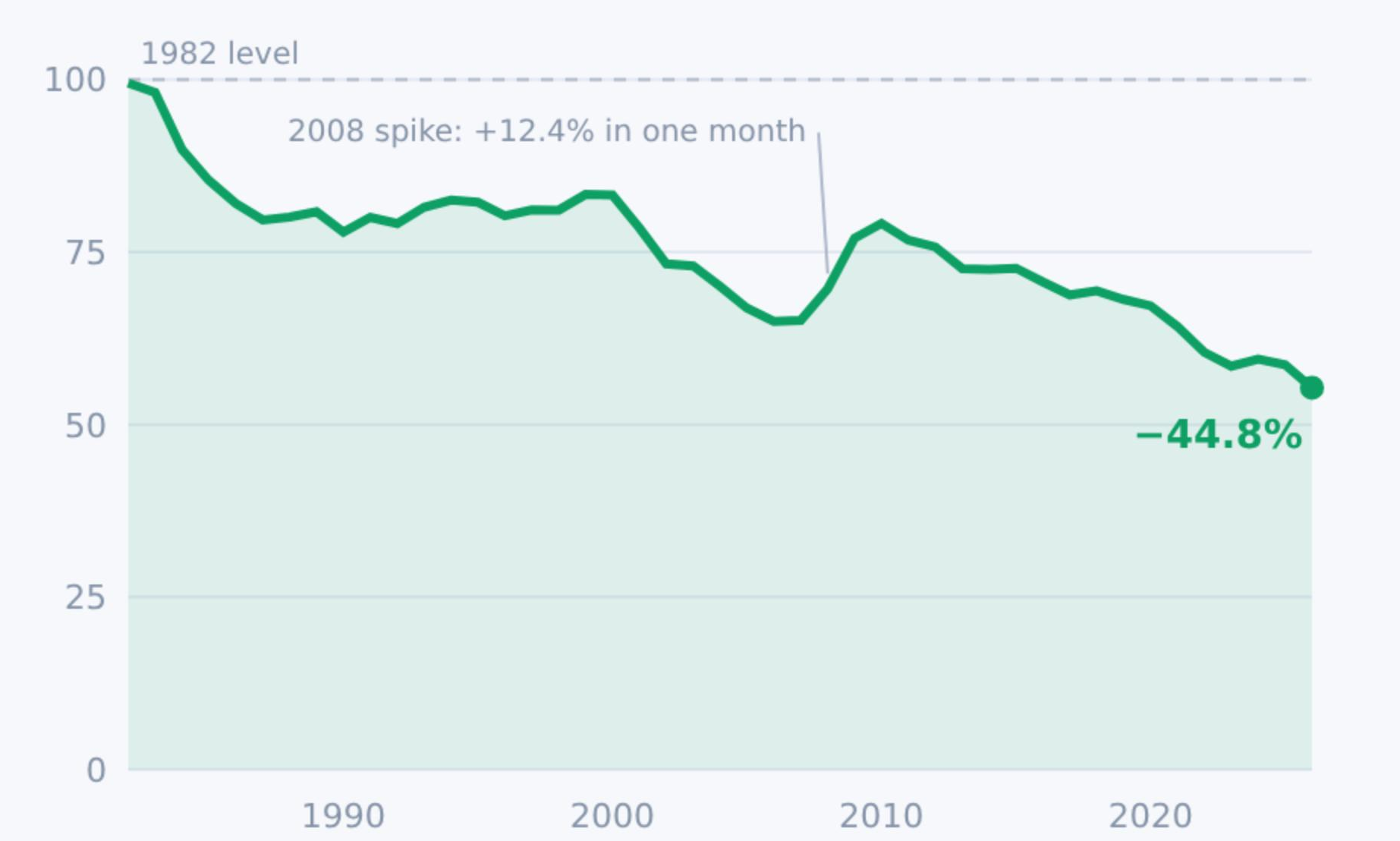
Isolated plant actives — caffeine, codeine, morphine — and milled botanicals.

One basket, no disease-level split published — we probed for sub-series; they don't exist. Human and veterinary uses are inseparable at this stage.



The ingredient fell **44.8%** in real terms — and hasn't stopped.

Forty-four years, inflation-adjusted. Down **–17.9%** since **2020** alone. **Every margin plan in this industry rode this line** — mostly without naming it.



US ONLY · JUN 1982 – JUN 2026 · BLS PCU325411325411 · CPI-U DEFLATED · JUN 1982 = 100 · ANNUAL MEANS OF MONTHLY DATA



The swings live on **the cost side.**

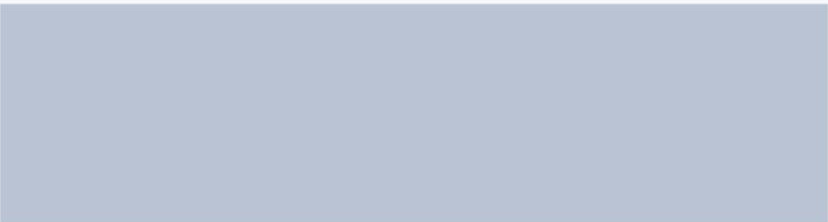
Month-to-month, the ingredient index moves **1.37× more** than the finished-medicine index. Largest single month: **+12.4% (June 2008)**. Most recent large move: **−4.4% (January 2026)**. A team watching its own selling price is watching the calm side of its own ledger.

INGREDIENT · monthly stdev



0.0102 **1.37×**

FINISHED MEDICINE · monthly stdev



0.0074

US ONLY · STDEV OF MONTH-ON-MONTH LOG CHANGES, JUN 1982 – JUN 2026, N = 527 · INGREDIENT 0.0102 VS FINISHED 0.0074 · NOMINAL INDEXES

Manage the ledger you can defend: **the input side.**

ANCHOR

Tie price reviews and procurement to the input curve — it is 1.37× more volatile than the output side and moves first.

TIME IT

Shocks arrive inside a month — procurement cadence and forward cover are margin levers, not admin.

WATCH

Eight straight quarters of real increases ends the 44-year tailwind. Nothing here changes before that does.

Every source

US · BLS producer price index via FRED, monthly — PCU325411325411, medicinal & botanical manufacturing (bulk active ingredient), index Jun 1982 = 100, Jun 1982 → Jun 2026 · deflator CPIAUCSL (CPI-U) · finished-side comparator for the volatility figure: PCU325412325412

Excluded by design · selling-price series (list-basis) and non-US markets. Human + veterinary measured together; no veterinary split exists at the ingredient stage. Every figure recomputed from data committed in the repository.

NEXT — PART 2 · The powder is not the price. What does a medicine's price actually pay for — R&D, manufacturing, people? Human vs animal pharma, from the companies' own SEC filings.